Smart Investing

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Chapter 1 — Pay Yourself First

Invest before you spend. Automation turns investing from a monthly decision — which willpower loses eleven times a year — into a default that happens whether or not you feel like it. Set the transfer for payday; live on what remains.

Start with the percentage, not the amount. Ten percent of any income is achievable; 'I will invest what is left over' invests nothing twelve months running. Raise the percentage with every raise before lifestyle absorbs it.

The emergency fund comes first: three to six months of expenses in accessible savings. This is not investing — it is insurance against being forced to sell investments at the worst moment or carry credit card debt at the worst rate.

Kill high-interest debt before heavy investing. A credit card at 20% interest is a guaranteed negative return no portfolio can beat. The mathematical order: employer match, then high-interest debt, then everything else.

Automate the entire chain: paycheck to savings, automatic transfer to brokerage, automatic purchase of your chosen fund. Decisions removed from the calendar cannot be skipped, negotiated with, or emotionally timed.

Chapter 2 — Diversify or Die

One asset is a bet; many assets is a portfolio. Concentrated positions create wealth and destroy it with equal enthusiasm. Diversification means some of your holdings will always disappoint you — and that disappointment is the premium paid for never being wiped out.

Index funds solve the selection problem elegantly. Buying the whole market means owning the winners in advance without predicting them. Most professional stock-pickers underperform their own benchmark after fees; the index quietly beats them all by existing.

Fees are the only reliable enemy. One percent annual fees consume roughly a quarter of a forty-year portfolio's final value. Expense ratios matter more than fund selection, past performance, or brand prestige. Hunt them like pests.

Diversify across asset classes, geographies, and time. Stocks for growth, bonds for stability, real assets for inflation protection — proportions set by timeline and temperament. Within stocks, own the world, not just home bias.

Rebalance annually: sell what grew overweight, buy what shrank. This mechanical discipline forces selling high and buying low — the behavior every investor endorses and almost nobody executes without a rule forcing it.

Chapter 3 — Time in the Market

Timing the market fails more than it works because the best days cluster unpredictably near the worst ones. Missing ten best days across decades halves final wealth — and those days arrive during panics, exactly when staying out feels safest.

Compounding is exponential and therefore unintuitive. Money doubles slowly at first, absurdly later. Starting ten years earlier often matters more than contributing twice as much. The best day to start was twenty years ago; the second best is today.

Dollar-cost averaging converts volatility from enemy to employee. Fixed purchases buy more shares when prices dip and fewer when they peak — automatically. The strategy's genius is removing judgment precisely where judgment performs worst.

Crashes are the tuition of returns. Equity markets fall twenty percent regularly and fifty percent occasionally — historically always recovering to new highs given time. Returns are payment for enduring those declines, not despite them.

Define your timeline honestly. Money needed within five years does not belong in stocks. Money invested for twenty years can ignore every headline ever printed. Match assets to horizons and most investment anxiety evaporates.

Get the complete edition

The full edition of Smart Investing includes all 10 chapters with end-of-chapter practice prompts. Available at the ANSY store.